Valuation metrics that incorporate last year's earnings are interesting, but what about *long-term* valuation metrics? Going back to the 1930s, practitioners have promoted the concept of using normalized earnings in place of simple one-year earnings estimates. For example, Graham and Dodd refer to the use of current earnings in the context of valuation metrics: “[earnings in P/E] should cover a period of not less than five years, and preferably seven to ten years.”[12] More recently, academics such as Campbell and Shiller, suggest that annual earnings are noisy as a measure of fundamental value.[13]

Here we test this theory by examining the three measures with long-term valuation metrics. Specifically, the central hypothesis proposed by proponents of long-term valuation metrics is that “normalizing” earnings decreases the noise of the valuation signal and therefore increases the predictive power of the metric. In the case of EBIT/TEV, this is represented by the following equation:

$$EBIT/TEV_{n,i} = \frac{\frac{\sum_{j=1}^{n} EBIT_{ij}}{n}}{TEV_i}$$

We test this conjecture and highlight the results in Table 8.3. In each column, we represent a different perturbation of the long-term valuation metric. For example, the two-year column uses the two-year average of the numerator for the valuation metric. Note that the results run from July 1, 1971, until December 31, 2014, as we require firms to have eight years of data to be in the sample. The results shown are for value-weighted portfolios.